CASCADIA ANALYTICS

Amkor Technology, Inc.

Equity Research Note | AMKR | 22 OCTOBER 2026

Recovery With Teeth

Amkor Technology screens as a Hold with a $42.24 blended target, 8% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$39.05	$42.24	+8%	HOLD

Investment Thesis

Recovery With Teeth. Revenue troughed at $6.32B in FY2024 and is running at $7.46B TTM. Three straight earnings beats, with Q2 EPS up 218% YoY to $0.70 vs $0.47 consensus [8-K]. AI Packaging Lever. The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand [8-K]. Growth Partly Priced. At $39.05, the reverse DCF implies about 7.5% 5-year growth, between our 4% bear case and our 10% base case. DCF base $41.10 is +5% upside; analyst targets average

- Recovery With Teeth
- AI Packaging Lever
- Growth Partly Priced

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The latest print

AI Packaging Lever. The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand.

Growth Partly Priced. At $39.05, the reverse DCF implies about 7.5% 5-year growth, between our 4% bear case and our 10% base case. DCF base $41.10 is +5% upside; analyst targets average $68.33 (+63%).

$1.90B	$0.70	$0.72-0.82	9.15%	16.8%	$2.60
REVENUE (Q2 FY26)	EPS (Q2 FY26)	Q3 FY26 EPS GUIDE	NET MARGIN (Q2 FY26)	GROSS MARGIN (Q2 FY26)	FY2026 CONSENSUS EPS

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY26)	$1.90B	+25.6%	Up
EPS (Q2 FY26)	$0.70	+218% YoY	Up
Q3 FY26 EPS Guide	$0.72-0.82	+55% YoY	Flat
Net Margin (Q2 FY26)	9.15%	+5.6 pts	Up
Gross Margin (Q2 FY26)	16.8%	+4.8 pts	Up
FY2026 Consensus EPS	$2.60	+73%	Up
Dividend	$0.0835/qtr (0.76% yield)	14.8% payout	Flat
Debt-to-Equity (FY25)	0.28	Down from 0.39	Flat

The moat

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat

The growth engine

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth

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Amkor Technology, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	4.0%	$9.01B	11.0%	**$25.74**	-34%
Base	50%	10.0%	$11.27B	13.0%	**$41.10**	+5%
Bull	25%	16.0%	$13.94B	15.0%	**$61.01**	+56%

Bear: downside case at $25.74 (-34%).

Base: central case at $41.10 (+5%).

Bull: upside case at $61.01 (+56%).

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The probability-blended target implies 8% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +8% from the $39.05 reference price.

$42.24
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$7.70B**
Valuation horizon	**2026-2030**
Live WACC	**8.58%**
Terminal growth	**2.0%**
Net cash	**$26.4M**
2030 FCF (Base)	**$758M**
10-year Treasury yield	**5.0%**
Beta	**1.30**
Equity risk premium	**3.5%**

HOLD | $42.24 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.5%, between Bear (4%) and Base (10%) — cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$5.1B	$20.54	+10%	$10.6B	$42.45	+30%	$19.8B	$79.28
-9%	$5.3B	$21.36	+11%	$10.9B	$43.90	+31%	$20.4B	$81.62
-8%	$5.5B	$22.21	+12%	$11.3B	$45.38	+32%	$21.0B	$84.00
-7%	$5.7B	$23.08	+13%	$11.7B	$46.90	+33%	$21.6B	$86.44
-6%	$6.0B	$23.98	+14%	$12.1B	$48.46	+34%	$22.2B	$88.93
-5%	$6.2B	$24.90	+15%	$12.5B	$50.06	+35%	$22.8B	$91.47
-4%	$6.4B	$25.85	+16%	$12.9B	$51.69	+36%	$23.5B	$94.07
-3%	$6.7B	$26.84	+17%	$13.3B	$53.37	+37%	$24.2B	$96.73
-2%	$6.9B	$27.85	+18%	$13.7B	$55.10	+38%	$24.8B	$99.45
-1%	$7.2B	$28.89	+19%	$14.2B	$56.86	+39%	$25.5B	$102.22
+0%	$7.5B	$29.96	+20%	$14.6B	$58.67	+40%	$26.2B	$105.05
+1%	$7.7B	$31.06	+21%	$15.1B	$60.52	+41%	$27.0B	$107.94
+2%	$8.0B	$32.19	+22%	$15.6B	$62.42	+42%	$27.7B	$110.89
+3%	$8.3B	$33.35	+23%	$16.1B	$64.36	+43%	$28.4B	$113.90
+4%	$8.6B	$34.55	+24%	$16.6B	$66.35	+44%	$29.2B	$116.97
+5%	$8.9B	$35.78	+25%	$17.1B	$68.38	+45%	$30.0B	$120.11
+6%	$9.2B	$37.05	+26%	$17.6B	$70.46	+46%	$30.8B	$123.31
+7%	$9.6B	$38.34	+27%	$18.1B	$72.59	+47%	$31.6B	$126.58
+8%	**$9.9B**	**$39.68**	+28%	$18.7B	$74.77	+48%	$32.5B	$129.91
+9%	$10.2B	$41.05	+29%	$19.2B	$77.00			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$6.41B	—	2.0%	$26.4M	$6.43B	**$25.74**
Base	$10.25B	—	2.0%	$26.4M	$10.28B	**$41.10**
Bull	$15.23B	—	2.0%	$26.4M	$15.25B	**$61.01**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 79.8% of Base enterprise value (Bear 78.3%, Bull 81.9%). The terminal WACC is 8.30% in Base (Bear 8.30%, Bull 8.30%), on a terminal beta of 1.20 (Bear 1.20, Bull 1.20).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$25.74	$27.95	$29.25	$30.39	$31.43	$32.34
Base	$41.10	$44.63	$46.95	$49.07	$51.00	$52.60
Bull	$61.01	$66.24	$70.28	$74.05	$77.41	$80.15

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $42.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat

Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth

Largest US-headquartered OSAT riding AI advanced-packaging demand

Revenue and margin trend

METRIC	Q2 '25	Q3 '25	Q4 '25	Q1 '26	Q2 '26
Revenue	$1.51B	$1.99B	$1.89B	$1.68B	$1.90B
Gross Margin	12.0%	14.3%	16.7%	14.2%	16.8%
Net Margin	3.6%	6.4%	9.1%	5.0%	9.2%

Valuation cross-check

Fwd P/E (NTM) 14.9x

DCF Base $41.10 vs $39.05 spot = +5% upside

Implied 5-yr revenue CAGR 7.5%, between bear case 4% and base case 10%

The market prices mid-single-digit growth, above the bear case but below our base case. Absolute valuation is reasonable with a modest margin of safety.

AI semi peers 25-45x fwd P/E

AMKR 14.9x, PEG 0.76

Trades at a deep discount to chip designers on forward earnings, fair for a capital-intensive OSAT but cheap given the recovery trajectory.

52-wk range $29.50-96.68

Current $39.05, -57% below the high

De-rated sharply from the spring high after profit-taking; now trading in the lower half of its one-year range despite improving fundamentals.

What to monitor

Oct 26, 2026. Q3 FY26 Earnings (Two-Sided): Consensus $0.79 EPS (+55% YoY), $2.02B revenue. Note: the last two beats were followed by -5.6% and -24.7% one-day reactions.

2026-2027. AI Advanced Packaging Demand (Positive): 2.5D, wafer-level and SiP exposure to AI accelerator demand; US-headquartered OSAT advantage.

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Quarterly. Dividend (Positive): $0.0835 per quarter, 0.76% yield, 14.8% payout ratio. Modest but durable through the cycle.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$6.1B	$1.2B	$763M	—
2022	$7.1B	$1.3B	$897M	$1.5B
2023	$6.5B	$943M	$470M	$1.1B
2024	$6.3B	$933M	$438M	$1.1B
2025	$6.7B	$939M	$467M	$1.2B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	—	$3.1B	$3.7B	$959M
2023	—	$2.8B	$4.0B	$1.1B
2024	—	$2.8B	$4.1B	$1.1B
2025	—	$3.6B	$4.5B	$1.4B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$1.1B	$780M	$-30M	$1.9B
2022	$1.1B	$-908M	$56M	$190M
2023	$1.3B	$-749M	$-149M	$521M
2024	$1.1B	$-744M	$-260M	$345M
2025	$1.1B	$-905M	$99M	$191M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $42.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 84 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 49.91% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $12.93M of sales, a net flow of -$12.93M. One-year total shareholder return is +36.7% against CEO total pay of $1.12M (Mr. Kevin K. Engel), which the model scores as EXEMPLARY ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	40 / 40	49.91% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $12.93M (20), net -$12.93M, trailing six months
Pay-for-Performance	30 / 30	EXEMPLARY ALIGNMENT: Founder Mode / Low Base Draw. 1Y TSR +36.7%; Mr. Kevin K. Engel, CEO, President & Director, total pay $1.12M
Agency Risk Score	**84 / 100**	Regime: FOUNDER-MODE // HIGH CONVICTION

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-13	Faust Megan	Chief Financial Officer	SELL	1,000	$46.9K
2026-10-02	Alexander Douglas A	Director	SELL	5,000	$275.0K
2026-09-08	Faust Megan	Chief Financial Officer	SELL	1,000	$49.0K
2026-08-17	Rogers Mark N.	General Counsel	SELL	5,000	$298.9K
2026-08-11	Faust Megan	Chief Financial Officer	SELL	1,000	$54.5K
2026-08-07	Alexander Douglas A	Director	SELL	5,000	$279.1K
2026-08-06	Rutten Guillaume Marie Jean	Director	SELL	50,000	$2.75M
2026-07-30	Engel Kevin K	Officer and Director	SELL	3,221	$151.4K

SEC proxy audit, DEF 14A filed 2026-04-02

Alignment grade C. CEO TRANSITION DATA OMITTED. Giel Rutten, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The excerpt reflects a planned leadership transition from long-tenured CEO Giel Rutten to COO Kevin K. Engel effective January 2026. However, the provided filing excerpt excludes the Compensation Discussion and Analysis and Summary Compensation Table located on pages 27 through 60. As a result, specific executive compensation figures, annual bonus targets, and TSR alignment metrics cannot be determined from this text.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1047127/000119312526140275/d943236ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Beat-and-Drop Pattern

The stock fell 24.7% the day after the Q2 beat and 5.6% after Q1's. Expectations and positioning matter more than the print itself.

Cyclical, Capital-Intensive

OSAT is a low-margin toll road with heavy capex requirements. A smartphone or memory downturn would hit utilization and margins hard.

Customer Mix

Revenue concentrates in mobile and consumer end markets. AI packaging is growing but not yet large enough to carry a down cycle.

The strengths

Operating Quality

Scale leader among OSATs with a solid balance sheet (D/E 0.28, current ratio ~2.1) and a dividend. But it is a capital-intensive, cyclical toll road: 15.5% gross and 10.5% operating margins cap structural quality.

Recent Trend

Revenue bottomed at $6.32B in FY2024, now running at $7.46B TTM with +25.6% growth in Q2. Three straight earnings beats; net margins expanded from 3.6% to 9.15% YoY. The -38% six-month stock slide is the tempering factor.

Forward Growth

Q3 guide of $0.72-0.82 EPS and consensus FY EPS of $2.60 (+73%) confirm the recovery. AI advanced packaging and US onshore capacity are real levers, though OSAT growth stays cyclical and capex-heavy.

Valuation

DCF base $41.10 implies ~5% upside from $39.05; the market-implied CAGR of about 7.5% sits between our 4% bear case and our 10% base case. Forward P/E of 14.9x and EV/revenue of 1.6x are cheap vs AI semi peers.

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Cascadia scorecard

Composite score 67: Attractive. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Scale leader among OSATs with a solid balance sheet (D/E 0.28, current ratio ~2.1) and a dividend. But it is a capital-intensive, cyclical toll road: 15.5% gross and 10.5% operating margins cap structural quality.	62
Recent Trend	Revenue bottomed at $6.32B in FY2024, now running at $7.46B TTM with +25.6% growth in Q2. Three straight earnings beats; net margins expanded from 3.6% to 9.15% YoY. The -38% six-month stock slide is the tempering factor.	72
Forward Growth	Q3 guide of $0.72-0.82 EPS and consensus FY EPS of $2.60 (+73%) confirm the recovery. AI advanced packaging and US onshore capacity are real levers, though OSAT growth stays cyclical and capex-heavy.	68
Valuation	DCF base $41.10 implies ~5% upside from $39.05; the market-implied CAGR of about 7.5% sits between our 4% bear case and our 10% base case. Forward P/E of 14.9x and EV/revenue of 1.6x are cheap vs AI semi peers.	68
Catalysts & Risk	Q3 earnings on Oct 26 with $0.79 consensus (+55% YoY) is the near-term catalyst; analyst targets average $68.33 (+63%). But the post-beat selloffs, cyclicality and heavy capex keep the skew balanced rather than bullish.	62

Investment view

A Q3 beat with raised Q4 guidance would validate the +73% FY EPS consensus and likely close the gap to the $68.33 analyst target; a guide-down or another post-beat selloff would cut Trend and confirm the multiple compression.

Investment view: Hold. The $42.24 blended target implies +8%, balancing the $25.74 / $41.10 / $61.01 Bear / Base / Bull outcomes.

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